14 August 2026

Hon. FRANCIS SATURNINO C. JUAN
Chairperson and CEO
Energy Regulatory Commission
Exquadra Tower, 1 Jade Tower
Ortigas Center, Brgy. San Antonio, Pasig City

Subject: Meralco's comments on ERC Case No. 2026-015RM, Adopting the Rules on the Gas Auction Threshold Price Determination Methodology, Gas Price Benchmark, and Settlement Mechanism for the Mid-Merit Natural Gas Capacity Auction Program under Department of Energy Department Circular No. DC2026-06-0013

Dear Chairperson Juan:

We appreciate the opportunity to submit comments on the draft resolution on the Rules on the Gas Auction Threshold Price Determination Methodology, Gas Price Benchmark, and Settlement Mechanism for the Mid-Merit Natural Gas Capacity Auction Program or the Gas Auction Implementing Rules (GAIR). Details of our comments are contained in the attached matrix.

While Meralco supports the government's policy to promote the use of natural gas as transition fuel, we respectfully posit that such policy should be balanced with the Distribution Utility's (DU) least cost sourcing mandate under the Electric Power Industry Reform Act (EPIRA). For example, as the only DU in the country with Power Supply Agreements (PSA) with gas-fired Generation Companies (GenCo), whether for ensuring system security of the entire Luzon grid or addressing the demand requirements of its captive customers, Meralco consumers have been bearing the high cost of supply from gas-fired plants. Even before the enactment of the Republic Act No. 12120 (Philippine Natural Gas Industry Development Act), Meralco has complied with the government's policy to use natural gas as energy transition fuel under the DOE's Advisory dated 11 October 2023 on the conduct of Competitive Selection Process (CSP) for power supply using indigenous natural gas as transition fuel.

Meralco's existing PSAs with gas-fired GenCos for the demand requirements of its customers were procured under prevailing sourcing regulations and approved by the Commission for the supply of electricity in a least cost manner, and such PSAs are aligned with the policy objective of the Philippine Natural Gas Industry Development Act to *"[d]evelop natural gas as a reliable fuel for power plants capable of addressing the peaking, mid-merit, and baseload demand of the country to help achieve energy security, while progressively transitioning to renewable energy sources"*.

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Thus, while we recognize that the conduct of a Power Development Plan (PDP)-Based Auction will spread the cost of natural gas supply to those that benefit from system security of the Luzon grid, it is respectfully recommended that Meralco's captive customers not be included in the allocation of collection for shortfall or flowback for excess amounts in PDP-Based Auction because they are already paying the cost of gas supply. Including Meralco consumers in the recovery of costs under the PDP-Based Auction will lead to a violation of the DU's least cost sourcing mandate and unnecessarily push up its electricity price. Meralco's customers should not be additionally burdened by reason of proactive efforts to comply with the government's gas policies ahead of the adoption of gas auction as one mechanism to implement the Philippine Natural Gas Industry Development Act.

We likewise have comments on cost parameters for the Mid-Merit Settlement Amount (MMSA) to ensure that consumers still only pay for least cost supply as required under EPIRA. For example, the Commission may consider: (i) setting the Allowable Add-On Cost Caps for each component to the lower between the maximum cap determined by the ERC and the values submitted by bidders in their price offers, (ii) the total rate of the Winning Bidder, i.e., the Gas Auction Price (GAP) and the Fuel Cost (FC) in its evaluation of price offers, and (iii) setting a Line Rental cap for Power Supply Procurement Plan (PSPP)-Based Auctions to shield consumers from excessively high line rental amounts in the WESM.

We hope the Honorable Commission's favorable consideration of Meralco's comments, and we will be ready to discuss any questions or clarifications that the Honorable Commission may have during the public consultation for Luzon stakeholders scheduled on 24 August 2026.

Sincerely,

JOSE RONALD V. VALLES
Senior Vice President and Head,
Regulatory Management

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HON. FLORESINDA G. BALDO-DIGAL, *Commissioner,* ERC
HON. AMANTE A. LIBERATO, *Commissioner,* ERC
HON. MARKO ROMEO L. FUENTES, *Commissioner,* ERC
HON. PARIS G. REAL, *Commissioner,* ERC

ERC Case No. 2026-015 RM

In Re: Rules on the Gas Auction Threshold Price Determination Methodology, Gas Price Benchmark, and Settlement Mechanism for the Mid-Merit Natural Gas Capacity Auction Program under Department of Energy Department Circular No. DC2026-06-0013

MATRIX OF COMMENTS

Company: Manila Electric Company (MERALCO)

No.	Page / Section Number	Discussion of Comment(s) and/or Question for Clarification	Suggestion or Proposed Amendments
1.	Pages 9-10, Rule 2, Section 5 (Purpose and Function of the GAT Price)	As provided in Section 5, "*[f]uel costs are excluded from the GAT Price and the resulting Gas Auction Price and are recovered separately through the Fuel Cost Pass-Through mechanism*". Since only the non-fuel cost component will be subjected to competitive bidding, will it be possible that when the passed through fuel cost is added, the total rate of a Winning Bidder may be higher than non-Winning Bidders? **We would like to inquire how such situation can be addressed so that consumers will still pay for the least cost supply.**	For clarification
2.	Pages 9-18, Rule 2 (Gas Auction Threshold Price Determination Methodology)	The draft resolution contains details with regard to the computation of GAT Price (Rule 2) but it does not illustrate how the Gas Auction Price (GAP) will be determined in relation to the submitted offer of the Winning Bidder and the actual landed logistics costs vis-à-vis the maximum caps. **We highly propose a section detailing how the GAP is determined.**	For consideration
3.	Page 12, Rule 2, Section 8.6 (Capped Landed Logistics Cost Component) vis-à-vis	As provided in Section 8.6, the Capped Landed Logistics Costs (CLLC) is embedded within the GAT Price rather than passed through separately under the Fuel Cost Pass Through (FCPT) mechanism so that "*the Winning Bidder, and not the electricity consumer, bears the risk of gas-delivery-infrastructure underutilization, cost overruns*	For consideration

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	Pages 21-23, Rule 2, Section 17 (Allowable Add-On Cost Caps)	*above the prescribed caps, and logistics-related rate volatility*". Since CLLC is part of the GAT Price and the GAP, then it is also fixed. However, Section 17 provides that "*any add-on cost not listed in the table above, or incurred above the applicable cap, shall not be included in the Fuel Cost Pass-Through and shall be borne by the Winning Bidder unless the Winning Bidder obtains prior Commission approval for the additional cost upon demonstration that it is prudent, reasonable, and unavoidable*", implying that there may adjustments to the CLLC. **Respectfully, there is need to clarify if CLLC is fixed throughout the delivery period or subject to a pre-determined cap.** **In addition, if bidders can submit values for each CLLC as part of their offer price, then the Allowable Add-on Cost Caps for each component should be the lower between the maximum cap determined by ERC and the CLLCs submitted by the bidders.**	
4.	Page 18, Rule 2, Section 11.5 (Indexation between Certificate of Award and Commercial Operations Date)	1. What is the rationale behind subjecting the GAT Price to a one-time indexation? **Since there is already a Winning Bidder during this process, the one-time indexation should only apply to the GAP.** 2. We would also like to seek clarification on the mechanism for implementing the one-time indexation adjustment. The draft Rules do not provide for how it will be done. **For better understanding of potential off-takers, we suggest including the mechanism for implementing the one-time indexation adjustment in the GAIR.**	Section 11.5 xxx The ~~GAT Price and the corresponding endorsed~~ Gas Auction Price (GAP) of a Winning Bidder shall be subject to a one-time indexation xxx
5.	Page 23, Rule 3, Section 17 (Allowable Add-On Cost Caps)	As provided in Section 17, "*[a]ny add-on cost not listed in the table above, or incurred above the applicable cap, shall not be included in the Fuel Cost Pass-Through and shall be borne by the Winning Bidder unless the Winning Bidder obtains prior Commission approval for their*	For consideration

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		additional cost upon demonstration that it is prudent, reasonable, and unavoidable". **To ensure that consumers still pay for least cost supply, we respectfully recommend that least cost criteria be considered in the Commission's evaluation of the add-on cost.**	
6.	Pages 23-24, Rule 2, Section 18 (Heat Rate and Conversion to PhP/kWh)	As provided in Section 18, the formula for fuel cost will include the Fuel VAT Rate, however, Section 38 of Republic Act No. 12120 (Philippine Natural Gas Industry Development Act) states that "*[t]he purchase and sale of indigenous natural gas, aggregated gas, and power generated by generation facilities using indigenous natural gas and aggregated gas shall be exempted from Value-Added Tax (VAT): Provided, That the exemption from VAT for aggregated gas is only to the extend of the amount of indigenous natural gas attributed to be in the aggregated gas.*" **We would like to seek clarification on how the tax exemption will be reflected in the Fuel Cost formula.** **Since VAT is computed separately from the Generation Charge, for consistency, we recommend that the Fuel Cost computation should be pre-VAT.**	For clarification and consideration
7.	Pages 29-31, Rule 5, Sections 29-32 (Mid-Merit Settlement Amount, WESM-based and PSPP-based Settlements)	As we understand, the formulas stated in Rule 5 are only applicable if a Winning Bidder is: (a) fully contracted via a PDP-Based Auction, **or** (b) fully contracted via PSPP-Based Auction. Will there be instances where a generation plant will: (i) only be partially contracted in the auction; (ii) have its capacity partly contracted in PDP-Based Auction and partly contracted in PSPP-Based Auction at different points in time?	For consideration

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		If yes, we suggest including the formula for these scenarios and for other possible iterations, for better understanding of the settlement mechanism during implementation.	
8.	Pages 29-31, Rule 5, Sections 29-32 (Mid-Merit Settlement Amount, WESM-based and PSPP-based Settlements)	On the off-taker side, will there be instances where an off-taker DU will: (i) be part of the PSPP-Based Auction **and** also the PDP-Based Auction; (ii) still be required to participate in the PDP- or PSPP-Based Auctions if it already has existing supply contracts with gas-fired plants? Can such DU refuse to participate in the PDP-Based or PSPP-Based Auctions? As the only DU in the country with Power Supply Agreements (PSAs) with gas-fired GenCos, whether for ensuring system security of the entire Luzon grid or addressing the demand requirements of its captive customers, Meralco consumers have been bearing the high cost of supply from gas-fired plants. Even before the enactment of the Republic Act No. 12120 (Philippine Natural Gas Industry Development Act), Meralco has complied with the government's policy to use natural gas as energy transition fuel under the DOE's Advisory dated 11 October 2023 on the conduct of Competitive Selection Process (CSP) for power supply using indigenous natural gas as transition fuel. Meralco's existing PSAs with gas-fired GenCos for the demand requirements of its customers were procured under prevailing sourcing regulations and approved by the Commission for the supply of electricity in a least cost manner. Such PSAs also comply with the policy objective of the Philippine Natural Gas Industry Development Act to "[d]evelop natural gas as a reliable fuel for power plants capable of addressing the peaking, mid-merit, and baseload demand of the country to help achieve energy security, while progressively transitioning to renewable energy sources" (Section 2b of RA 12120).	For consideration

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		Thus, while we recognize that the conduct of a PDP-Based Auction will spread the cost of natural gas supply to those that benefit from system security of the Luzon grid, **it is respectfully recommended that Meralco's captive customers not be included in the allocation of collection for shortfall or flowback for excess amounts in PDP-Based Auction because they are already paying the cost of gas supply.** Prospectively, **if the DU's mid-merit capacity requirement has been fully covered under the PSPP-Based Auction, then it should also not be included in the recovery of Mid-Merit Settlement Amount (MMSA) for the PDP-Based Auction.** This is because the mid-merit capacity requirement of the off-taker DU under the DOE-approved PSPP has already been fulfilled in the PSPP-Based Auction . Including (i) Meralco consumers in the recovery of costs under the PDP-Based Auction, and (ii) prospectively, off-taker DUs whose mid-merit capacity requirement has already been fully covered in the PSPP-Based Auction, in the PDP-Based Auction will lead to a violation of the DU's least cost sourcing mandate and unnecessarily push up its electricity price. Meralco's consumers should not be additionally burdened by reason of proactive efforts to comply with the government's gas policies ahead of the adoption of a gas auction as one mechanism to implement the Philippine Natural Gas Industry Development Act.	
9.	Page 29, Rule 5, Section 29 (Mid-Merit Settlement Amount)	As provided in Section 29, the MMSA will be payment for Energy Delivered, which is the total net electrical energy (kWh) generated by the Winning Bidder and injected into the grid during the Settlement Period. **We would like to seek clarification on how the Winning Bidders will achieve the required mid-merit dispatch under a PDP-Based Auction and a PSPP-Based Auction.** **1. What are the criteria for dispatch and who will determine it for a PDP-Based Auction and a PSPP-Based Auction?**	For clarification

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		2. How will mid-merit dispatch be determined under PDP-Based Auction considering the possibility that DUs may have different mid-merit hours? **3. If the facility of the Winning Bidder is dispatched outside mid-merit hours, how will the corresponding energy be compensated?**	
10.	Pages 30-31, Rule 5, Section 32 (PSPP-Based Settlement)	As provided in Section 32.2, the Winning Bidder shall declare its energy deliveries to each designated off-taker DU as Bilateral Contract Quantity (BCQ) in the WESM. As such, there will be corresponding line rental trading amount for the BCQ. **Consistent with some Power Supply Agreements (PSAs) approved by the Commission, we respectfully recommend that a Line Rental cap be imposed on the contracted capacities from the PSPP-Based Auction**. Based on experience, the Line Rental cap shields consumers from excessively high line rental amounts in the WESM.	For consideration
11.	Page 31, Rule 5, Section 32.3 32.3 (DU Direct Settlement) vis-à-vis Page 26, Rule 4, Section 23 (Commission Certification of Monthly Fuel Cost)	As required under Section 32.3, "*[t]he designated off-taker DU shall pay the Winning Bidder directly for the BCQ energy delivered, at the rate equal to the endorsed GAP plus the Commission-certified Fuel Cost per kWh for the applicable Settlement Period*". How will the DU know the certified Fuel Cost per kWh? Section 23 provides that "*[t]he certified Fuel Cost shall be transmitted to the MO for incorporation in the Settlement Mechanism computation for the applicable Settlement Period*".	For clarification
12.	Page 31, Rule 5, Section 33 (Carve-Out Mechanism)	DOE DC 2026-06-0013 specifically identifies that capacity, and not energy, will be auctioned and allocated to specific DUs. Further, not all PSAs have a contracted BCQ/energy. Thus, basing the carve out mechanism on contracted BCQ may not be feasible as opposed to basing it on the contracted capacity of the DU.	**Section 33. Carve-out Mechanism.** Where the designated off-taker DU experiences migration of its captive customers to the Customer Choice Program in the Retail Market, the ~~contracted BCQ~~ **contracted capacity** of each Winning Bidder/s supplying that DU

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			shall be proportionally reduced, in proportion to each Winning Bidder/s' respective share of the DU's total ~~contracted BCQ~~ **contracted capacity** xxx
13.	Page 31, Rule 5, Section 33.2 (Carve-Out Mechanism)	As provided in Section 33.2, "*each affected Winning Bidder shall be entitled to sell its corresponding freed-up capacity and energy in the WESM as uncontracted spot quantity, or to execute supply agreements with the migrating customers (whether as retail electricity suppliers or otherwise)*". Who will bear the difference between the GAP under the original PSA and under the new supply agreement (or the WESM rate if sold as uncontracted spot quantity), i.e., if the new price is lower than GAP. **We respectfully recommend that the GenCo bear the risk of such difference.**	For consideration